Outlook

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Follow-up: stop treating transaction count as customer value

Morning,

I need help with something that sounds simple but probably is not.

Finance needs a customer-value proxy for planning, but a full profitability engine and cost allocation are not available. Please start with the decision we need to make, then show whether the available evidence is strong enough to support it.

The questions I would ask in the room are:
1. What would we expect to see if recurring inflows and product depth identify durable value?
2. What evidence would instead support that some low-volume relationships are strategically valuable because of loan or deposit behaviour?
3. How do we rule out that high activity is being offset by service and fee friction?

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use August 2024 as the new evidence point rather than recycling the earlier conclusion. Please work towards how to segment relationships for planning without pretending the proxy is accounting profit. A useful output would be a model-ready table, data dictionary and an honest baseline.

Use monthly account snapshots, status events, limits, product enrolments and signatories; transaction-level timestamps, channels, amounts, statuses and error context; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; customer contacts, complaints and suggestions; campaign design and customer responses. One caution: Label the result as a value proxy. It is not net interest margin, return on equity or customer profitability.

Regards